

In this case, price leaves the triangle at 6.13 and reaches a high of 6.50—a 6% move before dropping and closing below the bottom of the pattern, busting the upward breakout.

Most failures of this type have two causes. The first is overhead resistance, and it is easy to spot. Look for peaks or valleys sharing a common price or a solid block of horizontal price movement. Chart patterns, trendlines, and other technical patterns also set up resistance areas. Before investing in a pattern, always check for overhead resistance.

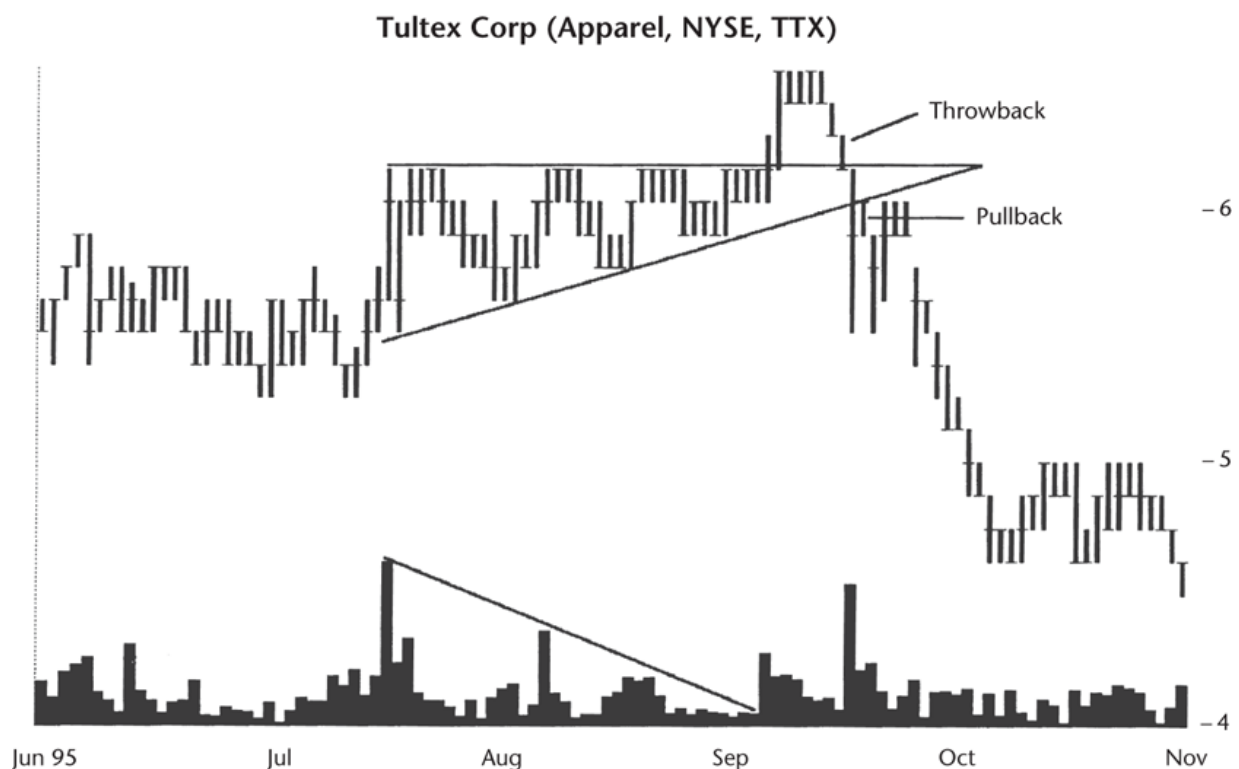


Figure 64.4 An excellent example of a correctly constructed ascending triangle. The number of minor highs and lows is good, and there are plenty of crossings from the top trendline to the bottom. Volume trends downward, too, until the upward breakout.

The second cause of failure is when the general market swings against the breakout direction. If the breakout is upward and the market turns down, that may be enough to kill a profitable trade in your stock by blunting the advance and sucking the stock down along with the general market.

A failure can also happen with stocks in the same industry. If competitor's stocks are going down and yours is the lone holdout, chances are your stock